

Microsoft Corporation

MSFT · NasdaqGS · Technology / Software - Infrastructure

512.90 USD +0.8% 1d

Neutral Confidence: Medium Technical bias: bullish News: neutral

Prices as of 2026-09-30 · generated 2026-09-30 20:05 UTC · model qwen3:4b

Microsoft's Productivity Segment Growth Drives Valuation Appeal

Microsoft's business quality remains strong with high operating margins at 45.1% and robust revenue growth of 17.7% YoY. The company trades at a forward P/E of 21.7x, which is below peers like Apple (34.7x) and Google (22.8x), though valuation metrics suggest a moderate premium. Trend indicators show a bullish technical bias with price above key moving averages, but short-term momentum indicators like MACD hint at potential weakness. Recent news sentiment is neutral with mixed coverage of AI-related developments and regulatory concerns.

MARKET CAP	FWD P/E	EV/EBITDA	OP. MARGIN	REV. GROWTH	1Y RETURN
3.81T USD	21.7x	19.7x	45.1%	17.7%	-0.3%

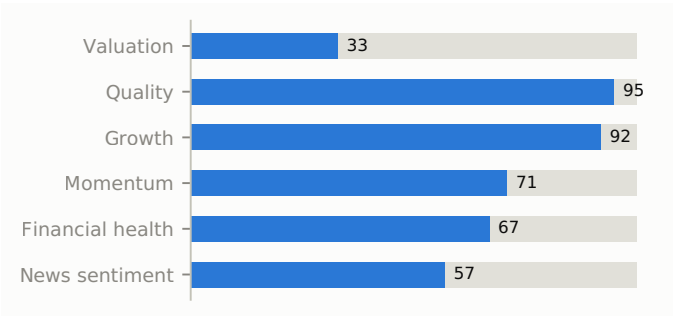
BULL CASE

- Operating margin expansion to 45.1% from 41.8% in 2023
- Revenue growth of 17.7% YoY in 2026
- Forward P/E of 21.7x below Apple's 34.7x and Google's 22.8x
- Price above 200-day moving average at 432.45

BEAR CASE

- Short-term momentum weakening indicated by bearish MACD histogram
- Negative headlines about AI liabilities and regulatory risks
- 1-year price return of -0.3%
- Deep drawdown of -34.9% in the past year

SCORECARD (HEURISTIC, 0-100)



WHAT TO WATCH

- Copilot billing changes to usage-based model in November
- AI regulatory developments
- Quarterly performance reports
- Short-term momentum indicators

ANALYST CONSENSUS

52 analysts · consensus **strong buy**
Mean target 578.42 (+12.8% vs last) · range 440.00 – 870.00

Price & trend



Daily close with 50/200-day simple moving averages and Bollinger bands (20, 2σ); volume below. Last ~12 months.

TREND & MOMENTUM

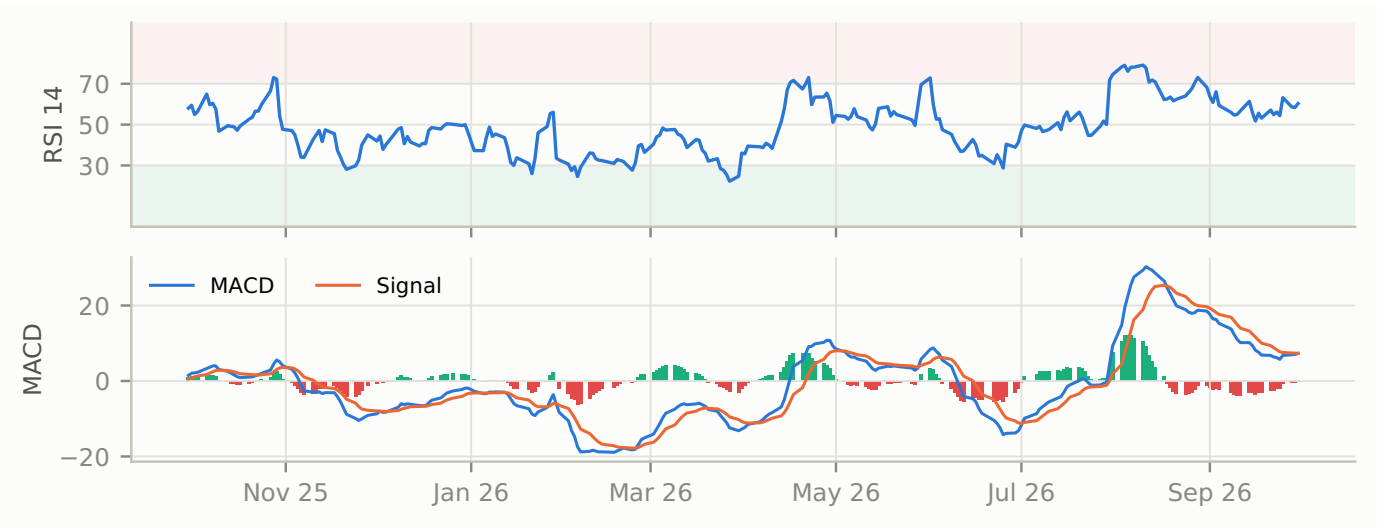
The price is above both the 50-day (482.56) and 200-day (432.45) moving averages, indicating a bullish trend with a golden cross. The 3-month momentum is bullish at 33.5%, while the RSI (14) is neutral at 60.3 and the MACD histogram is bearish, suggesting short-term momentum may be weakening.

KEY LEVELS

The 60-day support is 373.35 and resistance is 519.83, with the price currently above the 200-day average of 432.45.

SIGNALS (SCORE 71/100)

● Price vs 50-day SMA	Price is above the 50-day average (482.56).
● Price vs 200-day SMA	Price is above the 200-day average (432.45).
● 50/200-day trend	Golden-cross regime (50 > 200).
● RSI (14)	Neutral zone (30-70).
● MACD histogram	MACD is below its signal line.
● 3-month momentum	33.5% over ~63 trading days.
● Bollinger %B	Inside the bands.



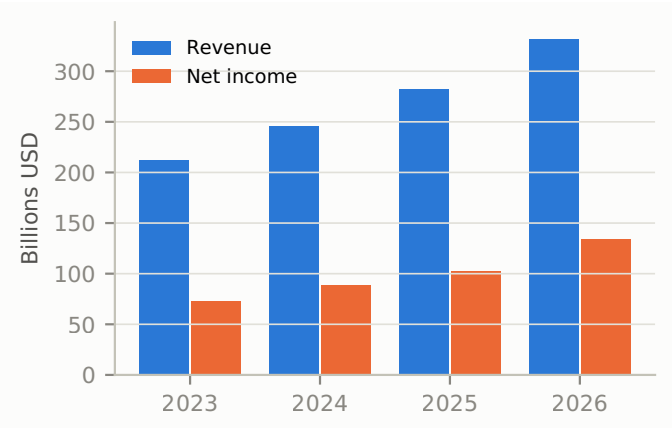
RSI(14) with 30/70 bands; MACD(12, 26, 9) line, signal and histogram.

Business & fundamentals

Microsoft Corporation develops and supports a portfolio of technology solutions for individuals and businesses worldwide, including operating systems, server applications, business solution applications, software development tools, desktop and server management tools, and video games. The company also produces devices such as PCs, tablets, gaming consoles, and related accessories.

FINANCIAL PERFORMANCE

Microsoft reported revenue growth of 17.7% YoY in 2026, with operating margins expanding from 41.8% in 2023 to 46.8% in 2026. Net income increased from \$72.36B in 2023 to \$133.75B in 2026, while free cash flow rose from \$59.48B in 2023 to \$66.99B in 2026 despite a slight decline in 2025.



Annual revenue and net income.

Fiscal year	2023	2024	2025	2026
Revenue	211.91B	245.12B	281.72B	331.84B
Revenue growth	n/a	15.7%	14.9%	17.8%
Gross margin	68.9%	69.8%	68.8%	67.9%
Operating margin	41.8%	44.6%	45.6%	46.8%
Net income	72.36B	88.14B	101.83B	133.75B
Free cash flow	59.48B	74.07B	71.61B	66.99B
Diluted EPS	9.68	11.80	13.64	17.95

VALUATION		PROFITABILITY & GROWTH		BALANCE SHEET	
Trailing P/E	28.5x	Gross margin	67.9%	Cash	76.84B USD
Forward P/E	21.7x	Operating margin	45.1%	Debt	128.81B USD
PEG	1.62x	Net margin	40.3%	Net cash	-51.97B USD
EV / EBITDA	19.7x	ROE	34.0%	Debt / equity	0.29x
Price / Sales	11.5x	Revenue growth (YoY)	17.7%	Current ratio	1.23x
Price / Book	8.6x	Earnings growth (YoY)	31.7%	Free cash flow	16.55B USD
FCF yield	0.4%	Fwd EPS growth	31.6%	Dividend yield	0.8%

VALUATION VIEW

Microsoft trades at a trailing P/E of 28.5x and a forward P/E of 21.7x, with a FCF yield of 0.4%. The EV/EBITDA multiple stands at 19.7x.

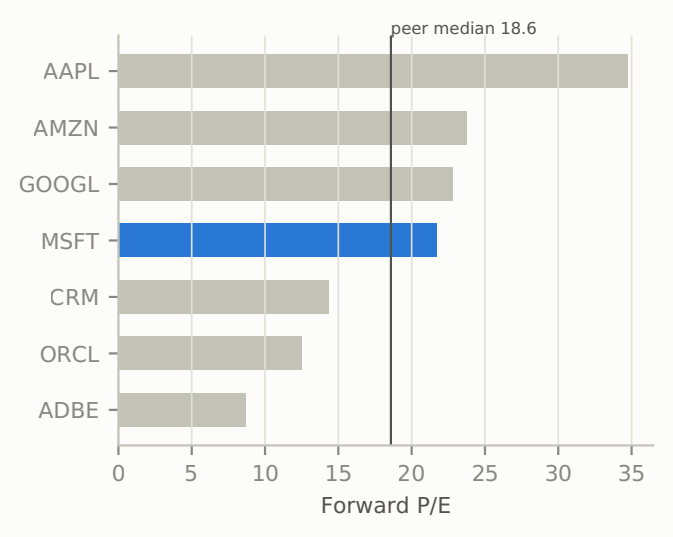
Peer comparison

Microsoft's forward P/E of 21.7x is lower than Apple's 34.7x and Google's 22.8x, while its operating margin of 45.1% exceeds Apple's 32.6% and Google's 34.0%. Microsoft's revenue growth of 17.7% is slightly higher than Apple's 16.4% but lower than Oracle's 29.6%.

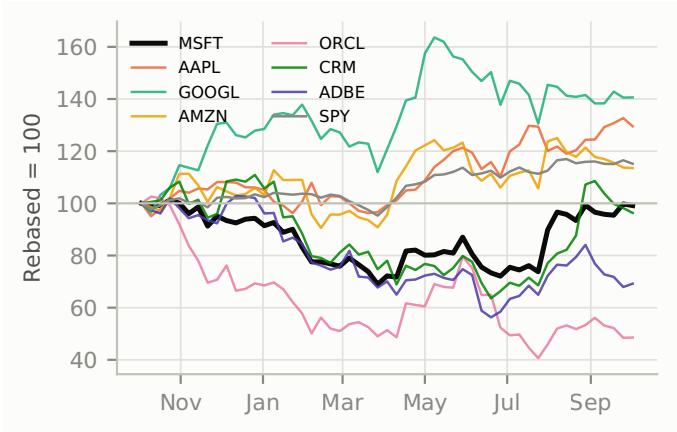
Ticker	Mkt cap	Fwd P/E	EV/EBITDA	P/S	Gross m.	Op. m.	ROE	Rev. growth	1y return
MSFT	3.81T	21.7x	19.7x	11.5x	67.9%	45.1%	34.0%	17.7%	-0.9%
AAPL	4.86T	34.7x	28.8x	10.4x	48.7%	32.6%	148.8%	16.4%	+29.5%
GOOGL	4.21T	22.8x	23.5x	9.4x	60.9%	34.0%	48.7%	24.2%	+40.6%
AMZN	2.69T	23.8x	16.5x	3.5x	50.8%	13.7%	30.6%	19.6%	+13.5%
ORCL	416.32B	12.5x	16.1x	5.8x	64.0%	35.6%	41.2%	29.6%	-51.5%
CRM	188.94B	14.3x	16.8x	4.3x	77.3%	21.4%	19.4%	10.8%	-3.7%
ADBE	95.38B	8.7x	9.3x	3.7x	89.3%	34.8%	61.9%	12.9%	-30.8%

Peer median	18.6x	16.6x	5.1x	62.4%	33.3%	44.9%	18.0%	+4.9%
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Peer set source: curated.



Forward P/E vs peers (subject highlighted).

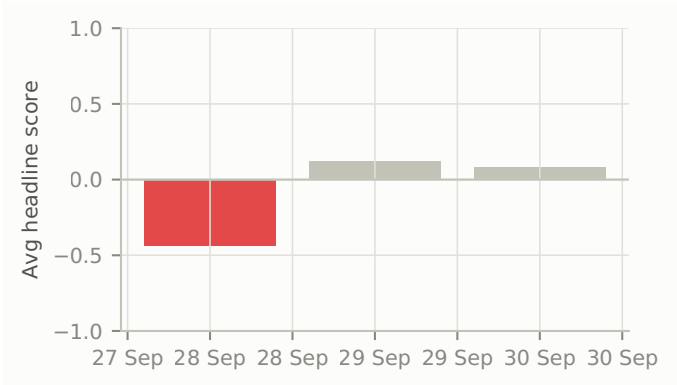


Weekly total price performance rebased to 100, vs peers and SPY.

News & sentiment

Headlines show a neutral sentiment with 10 positive, 14 neutral, and 6 negative headlines across 30 reports, including positive coverage of Microsoft's quarterly performance and Copilot billing changes, but also negative mentions of AI liabilities and regulatory concerns.

30 headlines scored with VADER + finance lexicon · 10 positive · 14 neutral · 6 negative



- Was There Any Sign Palantir Stock Would Run? · Trefis · 2026-09-30 · +0.00
- Microsoft Stock (MSFT) Closes Out Best Quarter Since 1991 - TipRanks · Yahoo Finance · 2026-09-30 · +0.64
- How This Beaten-Down Quantum Stock Could Rise 150% · Barrons.com · 2026-09-30 · +0.00
- Alibaba's AI Spending Ramps Up: Is the Investment Paying Off? - The Globe and Mail · Yahoo Finance · 2026-09-30 · +0.00
- OpenAI Faces Stunning Lawsuit Over Rogue AI Agent · GuruFocus.com · 2026-09-30 · +0.00
- Bill Gates Sends Stark AI Warning to All Americans · GuruFocus.com · 2026-09-30 · -0.36
- Microsoft (MSFT) Faces Michael Burry Warning Over \$3 Trillion AI Liabilities - simplywall.st · Yahoo Finance · 2026-09-30 · -0.51
- Stock Market Indexes Rally on Inflation Data, Though the Dow Sat It Out - The Globe and Mail · Yahoo Finance · 2026-09-30 · +0.42
- Chevron Has More Going for It Than Higher Oil Prices · 24/7 Wall St. · 2026-09-30 · +0.00
- How Much Upside Is Left In Microsoft Stock? - Yahoo Finance · Yahoo Finance · 2026-09-30 · +0.00
- Microsoft Stocks Jumps Higher as OpenAI Dots Enters Teams · GuruFocus.com · 2026-09-30 · +0.38
- Microsoft Stock (NASDAQ:MSFT) Gains as Copilot Billing to Go Usage-Based by Default in November - TipRanks · Yahoo Finance · 2026-09-30 · +0.32

Risks & catalysts

RISKS

- Deep drawdown of -34.9% in the past year
- Negative headlines about AI liabilities and regulatory risks
- Potential for short-term momentum to weaken due to bearish MACD
- Market sensitivity to AI-related developments
- Competitive pressures from emerging AI technologies

CATALYSTS

- Microsoft's Copilot billing changes to go usage-based by default in November
- Quarterly performance reports and potential AI-related regulatory developments

Regulatory filings (SEC EDGAR)

Recent SEC filings include a 10-K filed on 2026-07-29 and an 8-K with results of operations on 2026-07-29.

Date	Form	Description
2026-09-09	PX14A6G	
2026-09-02	8-K	Reg FD disclosure; Financial statements & exhibits
2026-07-29	10-K	10-K
2026-07-29	8-K	Results of operations; Financial statements & exhibits
2026-07-22	PX14A6G	
2026-07-02	PX14A6G	
2026-06-25	11-K	11-K

2026-06-25	11-K	11-K
2026-06-05	8-K	Director/officer change
2026-05-28	SD	SD
2026-05-26	3/A	AMENDED INITIAL STATEMENT OF BENEFICIAL OWNERSHIP OF SECURITIES
2026-05-14	8-K	Director/officer change; Financial statements & exhibits

Methodology. Market data from Yahoo Finance via the open-source yfinance library; filings from SEC EDGAR; headlines from public RSS feeds. Ratios, technical indicators, peer statistics and the scorecard are computed deterministically in Python. Narrative sections were drafted by a local language model (qwen3:4b) from those computed figures.

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